Essential Properties Realty Trust
Credit Approval Form

Date:	2/27/2018
Lessee:	WLR Holding Company, Inc.
Guarantor:	WLR Automotive Group, Inc. and WLR Distribution, Inc.
Purchase Price:	$3,200,000
Estimated Closing Cost:	$75,000
Approval Amount:	$3,275,00
Cap Rate:	8.20%
EPRT Initial Rent:	$262,400
Current Ground Rent:	84,000
Total Unit Rent Expense:	$346,400
Lease Term:	14.17 years
Lease Type:	Existing NNN Master Lease
Escalations:	1.5% annually
Transaction Overview:	EPRT is seeking a sale-leaseback of one car wash facility located in Maryland. Essential Properties has an existing relationship with the operator, WLR Automotive Group. The site will be added to the existing three-unit master lease.

WLR Rent Exposure:

Essential Properties ('000s)	
Existing WLR Exposure	$ 1,000
Proforma WLR Exposure	262
Proforma Total WLR Exposure	$ 1,262

Indicative IRR/MOIC Returns:			
	Exit Cap	**5- Year**	**10- Year**
Exit Cap @ Entry Cap Rate	8.20%	21.4% / 1.7x	20.3% / 2.4x
Exit Cap @ REIT Avg. Implied	6.75%	31.8% / 2.8x	23.4% / 3.6x

Authorized Signatory:

Gregg Seibert
Chief Operating Officer
Essential Properties Realty Trust

Peter Mavoides
President & Chief Executive Officer
Essential Properties Realty Trust

Anthony Minella
President
Eldridge Industries

Deal Overview:

Essential Properties Realty Trust is seeking a sale-leaseback transaction of one car wash located in Maryland.

Purchase Price:	$3,200,000
Cap Rate:	8.20%
EPRT Initial Rent:	$262,400
Current Ground Rent:	84,000
Total Unit Rent Expense:	$346,400
Price PSF:	$320.00
Rent PSF:	$26.24
Initial Lease Term:	14.17 years (Existing Master Lease)
Renewal Options:	Two (2), five (5) year options and One (1), four (4) year and eleven (11) month
Rental Escalations:	1.5% annual
Tenant:	Existing NNN Master Lease
Lease Type:	NNN Master Lease

Company Overview:

WLR Automotive Group, Inc. ("WLR" or the Company) is an automotive service provider with locations in Maryland and Pennsylvania. The Company was founded in 1987 as a lube shop operating in a former J.C. Penney Auto Center. Since then, the Company has grown to eleven lube centers, two auto repair centers, and six car wash centers. The Company operates under concepts such as The Lube Center, The Auto Repair, The Auto Spa, The Auto Spa Express and Mighty Auto Parts of Maryland. The Company was founded by Randall Simpson, the acting CEO/President of the firm.

Transaction Overview:

Essential Properties is seeking to acquire one (1) Bel Air Auto Spa car wash located in Bel Air, Maryland. The total purchase price is $3.2 million. The sale-leaseback proceeds will be used to pay down the building mortgage debt.

Sources & Uses ('000s)							
Sources			**%**	**Uses**			**%**
Real Estate SLB Proceeds	$	3,200	100%	Mortage Debt	$	3,050	95%
				Closing/Transaction Costs		150	5%
Total Sources	**$**	**3,200**	**100%**	**Total Uses**	**$**	**3,200**	**100%**

The building is currently on a ground lease that commenced August 1st, 2013 and expires February 28, 2019. WLR has three (3), five (5) years options to renew the ground lease. WLR has an existing option to purchase the land starting March 1st, 2024 and ending February 28th, 2034.

As part of the sale-leaseback transaction, WLR will assign the purchase option to Essential Properties. If Essential Properties executes on the option, the purchase price will be equal to the appraised fair market value of the premises, but not less than $850k or more than $1.0 million. The rate on the land will be the greater of 8.5% on the land purchase or market rate at the time of purchase. Should EPRT choose not to exercise the purchase option, the option will be assigned back to WLR.

Investment Highlights:

- **Existing Master Lease:** The unit will be added to the existing three unit master lease which has a remaining term of 14.17 years and 1.5% annual escalations.
- **Healthy Unit Economics:** The existing three-unit master lease has a FYE 2017 rent coverage ratio of 2.03x. With the inclusion of the subject unit, the master lease will have rent coverage of 2.04x.
- **Established Tenant and Brand:** WLR has operated for thirty years and has grown revenues every single year since the Company was established. The Company currently operates a total of 19 total units.

Returns Analysis:

Deal Terms ('000s)

Deal Terms & Financing Assumptions ('000s)

Uses				
Purchase Price		$ 3,200	Initial Cap Rate	8.20%
Transaction Closing Costs		75	Effective Cap Rate	8.01%
ABS Financing Costs		50		
Total Investment		**$ 3,325**		
Sources	*%*		Lease Term	14.17
Debt	80%	2,660	Escalation Rate	1.50%
Equity	20%	665	Escalation Type	Annually
	100%	**3,325**		
Wtd. Debt Cost		**S + 216 bps**		
Current Pricing:			*Financing Notes:*	
7-Yr Swap as of 02.26.18		2.78%	ABS upfront financing cost of 2.0%	
Spread		2.16%	1.4% annual mandatory amortization	
Debt Cost		**4.94%**		

Market Data

Implied Cap Rates [1]:

ADC	5.80%
SRC	8.20%
STOR	6.70%
NNN	6.40%
O	5.80%
Industry Avg	*6.58%*
Assumed REIT Exit	***6.75%***

(1) Net Lease Comp Implied Cap Rate Data as of 2.16.18

Current Portfolio

As of Q2 2017	$	656.3
Portfolio Yield		7.69%

Cash Flow ('000s)

($ '000s)	Closing	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Rent		$ 262.4	$ 266.3	$ 270.3	$ 274.4	$ 278.5	$ 282.7	$ 286.9	$ 291.2	$ 295.6	$ 300.0
Exit Cap Rate (Base Case)											8.20%
Gross Exit Proceeds		**262.4**	**266.3**	**270.3**	**274.4**	**278.5**	**282.7**	**286.9**	**291.2**	**295.6**	**3,658.8**
Less: Debt	$ 2,660.2										(2,194.6)
Net Exit Proceeds											**1,464.22**
Initial Rent		$ 262.4	$ 266.3	$ 270.3	$ 274.4	$ 278.5	$ 282.7	$ 286.9	$ 291.2	$ 295.6	$ 300.0
Interest		(130.3)	(128.1)	(125.8)	(123.5)	(121.3)	(119.0)	(116.7)	(114.4)	(112.2)	(109.9)
Principal Payments		(46.6)	(46.6)	(46.6)	(46.6)	(46.6)	(46.6)	(46.6)	(46.6)	(46.6)	(46.6)
Debt Service		(176.9)	(174.6)	(172.4)	(170.1)	(167.8)	(165.5)	(163.3)	(161.0)	(158.7)	(156.4)
Total Cash Flow		**$ 85.5**	**$ 91.7**	**$ 98.0**	**$ 104.3**	**$ 110.7**	**$ 117.1**	**$ 123.7**	**$ 130.2**	**$ 136.9**	**$ 143.6**
Equity Cont. (incl. closing costs)	$ (665.0)										$ 1,464.2
Net Proceeds from Exit											
Total Cash Flows / Net Profits	**$ (665.0)**	**$ 85.5**	**$ 91.7**	**$ 98.0**	**$ 104.3**	**$ 110.7**	**$ 117.1**	**$ 123.7**	**$ 130.2**	**$ 136.9**	**$ 1,607.8**
Cash -on-Cash (assuming IO loan at 4.94%)		*19.7%*	*20.3%*	*20.9%*	*21.5%*	*22.1%*	*22.7%*	*23.4%*	*24.0%*	*24.7%*	*25.3%*
Cash -on-Cash (ABS Financing)		*12.9%*	*13.8%*	*14.7%*	*15.7%*	*16.6%*	*17.6%*	*18.6%*	*19.6%*	*20.6%*	*21.6%*

Returns	5- Year	10- Year
IRR	21.4%	20.3%
MOIC	1.7	2.4
Avg. C-o-C	14.7%	17.1%

Returns

Levered Returns -5 Year Hold Period

WA Coupon	Exit Cap Rate: Industy Avg. 6.75%	7.20%	7.70%	Par Exit 8.20%	8.70%	9.20%
S + 1.41%	34.0% / 2.8x	30.8% / 2.4x	27.3% / 2.1x	23.9% / 1.7x	20.4% / 1.4x	16.9% / 1.2x
S + 1.66%	33.3% / 2.8x	30.0% / 2.4x	26.5% / 2.1x	23.0% / 1.7x	19.5% / 1.4x	16.0% / 1.2x
S + 2.16%	**31.8% / 2.8x**	28.5% / 2.4x	24.9% / 2.0x	**21.4% / 1.7x**	17.7% / 1.4x	14.0% / 1.1x
S + 2.66%	30.4% / 2.8x	27.0% / 2.4x	23.4% / 2.0x	19.7% / 1.7x	16.0% / 1.4x	12.1% / 1.1x
S + 2.91%	29.7% / 2.8x	26.3% / 2.4x	22.6% / 2.0x	18.9% / 1.7x	15.1% / 1.4x	11.2% / 1.1x

Levered Returns - 10 Year Hold Period

WA Coupon	Exit Cap Rate: Industy Avg. 6.75%	7.20%	7.70%	Par Exit 8.20%	8.70%	9.20%
S + 1.41%	25.4% / 3.6x	24.4% / 3.2x	23.5% / 2.8x	22.5% / 2.4x	21.7% / 2.1x	20.8% / 1.8x
S + 1.66%	24.7% / 3.6x	23.8% / 3.2x	22.8% / 2.8x	21.8% / 2.4x	20.9% / 2.1x	20.0% / 1.8x
S + 2.16%	**23.4% / 3.6x**	22.4% / 3.2x	21.3% / 2.8x	**20.3% / 2.4x**	19.3% / 2.1x	18.4% / 1.8x
S + 2.66%	22.1% / 3.6x	21.0% / 3.2x	19.9% / 2.8x	18.9% / 2.4x	17.8% / 2.1x	16.8% / 1.8x
S + 2.91%	21.4% / 3.6x	20.4% / 3.2x	19.3% / 2.7x	18.2% / 2.4x	17.1% / 2.1x	16.0% / 1.8x

Risk and Mitigants:

Risk: Lease Adjusted Leverage of 7.08x- The WLR Automotive Group consolidated entity (Holdco) currently has a 7.08x lease-adjusted leverage ratio. The guarantor, which makes up 97% of the Holdco, has a lease-adjusted leverage ratio of 5.90x. Post SLB, the guarantor will have a proforma lease adjusted leverage ratio of 5.68x.

Mitigant: Holdco has moderate leverage– The Company will use the sale-leaseback proceeds to pay off existing debt. The Holdco will have a Funded Debt/EBITDA of 6.45x. The guarantor on the lease has a Funded/Debt/EBITDA ratio of 4.57x. Post SLB, the guarantor will have a proforma Funded Debt/EBITDA ratio of 4.14x. WLR Automotive Group on a consolidated basis has higher leverage due to the ownership of a residential real estate portfolio, which carries higher leverage than the Opco.

Risk: New Unit – The unit is a year old and has not yet reached full capacity.

Mitigant: Strong Year-1 Growth – The subject unit has outperformed expectations with year-1 sales being 5% higher than the original budget. The operator expects that sales will continue to increase as the site matures.

Risk: Subject Unit On Ground Lease – The subject unit is currently on a ground lease set to expire February 28th, 2019. The lease will automatically renew for another 60 months beginning March 1st, 2019 unless the tenant gives a written notice of lease termination nine months in advance of the expiration date.

Mitigant: Ground Purchase Option – During the PSA negotiation, EPRT will get the tenant to sign a contract that they will renew all extension options as well as a second contract to assign the ground purchase option to EPRT.

Mitigant: EPRT's Current Portolio – EPRT currently only has five ground leases in the portfolio. Post transaction, EPRT will have six ground leases whose rent accounts for less than one percent of total rental revenue.

Risk: Underperforming existing EPRT site – The Huntingtown unit currently owned by EPRT is underperforming.

Mitigant: Master Lease Coverage – The unit is placed on an existing master lease with two strong units. Collectively the portfolio rent coverage is strong at over 2.0x.

Mitigant: Change in Business Model: The Huntingtown unit was recently converted to a flex model which can perform express and full-service car washes. With this change, there has been an increase in sales.

Unit Economics:

Subject Portfolio ('000s)													
Type	Address	City	State	Store Opened	Total SF	Sales PF Year 3	EBITDAR PF Year 3	Investment	Rent	Ground Lease	Total Rent	PF Cov.	OI Margin
Bel Air Auto Spa	1615 E Churchville Rd	Bel Air	MD	2016	4,665	$ 1,400	$ 709	$ 3,200	$ 262	$ 84	$ 346	2.05	50.7%

Price PSF	**$**	**685.96**
Rent PSF	**$**	**56.25**
Sales PSF*	**$**	**300.11**
RTS %		**20.2%**

The subject unit opened in December of 2016. The location is an express model which allows for quick car washes for the customers. To account for the first year of operations, Essential took the full-year 2017 financials and annualized July through December and October through December. The rent coverage for those time periods is 1.20x and 1.42x respectively. The site is on track to achieve the year-3 proforma figures.

The Company expects the sales to grow over the next three years. The Bel Air location is performing well above the company's year 1 projections and should achieve stabilization in three years.

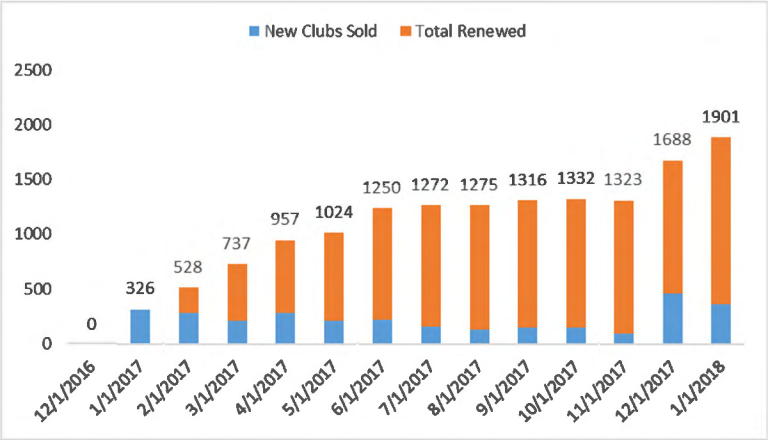
Year 1 Performance (000's)			
	Budget	Actual	Var.
Revenue	$ 1,000	$ 1,078	$ 78

The subject unit is currently on a ground lease and pays $84,000 in rent. The current ground lease + the current mortgage payment equals $319,000 in total rent. Post SLB, the current ground lease + the new SLB rent will equal $346,000 in total rent.

The subject unit performed better than previously budgeted in the first year. It typically takes 3 years of operations to hit stabilization, at which site is projected to hit sales of $1.3 million and EBITDAR $786,000. On a proforma basis the master lease rent coverage will increase to 2.04x.

The original sale-leaseback was executed at a 7.60% cap rate. The Bel Air sale-leaseback is being executed at an 8.20% cap rate. Once this transaction is completed and added, the increase in cap rate will help the overall yield and strengthen the master lease position.

A large component of car wash revenue is derived from monthly paid memberships. These monthly memberships provide stable monthly revenue. Monthly memberships accounted for 36% of total revenue for FYE 2017. The subject unit experienced an increase in monthly paid members throughout the entire year. The Company expects this figure to increase as the site continues to mature. The goal is for memberships to account for 50% of total revenue. Below is the total membership counts from inception through January of 2018. As a point of reference, for the Company, memberships account for 23% of total revenue for the car washes.



Existing Master Lease With Subject Unit Proforma Performance:

Subject Portfolio ('000s)													
Type	Address	City	State	Year Built	Total SF	Acreage	Sales FYE 2017	EBITDAR FYE 17	Rent	Ground Lease	Total Rent	Cov. 2017	OI Margin
Lube Center	16327 Caprice Ct.	New Freedom	PA	1997	2,109	2.11	$ 1,375	$ 388	$ 163	N/A	$ 163	2.39	28.2%
Auto Spa	2266 Solomons Island Rd.	Huntingtown	MD	2009	4,688	2.45	598	(52)	60	N/A	60	(0.86)	-8.6%
Auto Repair	672 State Route 3 North	Gambrills	MD	2009	3,759	0.74	1,364	340	150	N/A	150	2.27	24.9%
Lube Center	676 State Route 3 North	Gambrills	MD	1998	3,759	0.74	2,948	887	425	N/A	425	2.09	30.1%
Auto Spa	680 State Route 3 North	Gambrills	MD	1998	9,500	0.74	1,743	469	202	N/A	202	2.32	26.9%
			Total		**23,815**	**6.78**	**$ 8,029**	**$ 2,033**	**$ 1,000**	**$ -**	**$ 1,000**		
			Average	***2002***	***4,763***	***1.36***	***$ 1,606***	***$ 407***	***$ 200***	***$ -***	***$ 200***	***2.03***	***25.3%***
Express Car Wash	1615 E Churchville Rd	Bel Air	MD	2016	4,665	1.25	$ 1,400	$ 709	$ 262	$ 84	$ 346	2.05	50.7%
			Total		**28,480**	**8.03**	**$ 9,429**	**$ 2,742**	**$ 1,262**	**$ 84**	**$ 1,346**		
			Average	***2005***	***4,747***	***1.34***	***$ 1,571***	***$ 457***	***$ 210***	***$ -***	***$ 200***	***2.04***	***29.1%***

Existing Sites: The existing master lease had FYE 2017 sales and EBITDAR of $8.0 million and $2.0 million, respectively. The current rent coverage is 2.03x. Out of the 3 sites, the Huntingtown is the weak performer. A large part of the poor performance is attributable to the high labor costs associated with being a full-service car wash. Additionally, a competing express car wash opened ~1.5 miles down the road, causing a dip in sales at the beginning of the year.

The Company recently converted this site into a flex model. This combination of business models allows the site to be more competitive. Note, the name "Flex" is a term used to describe a car wash that can perform a quick wash or provide an extensive vehicle detailing service. The site also was upgraded with a membership lane which should attract additional members. EPRT was provided January 2018 financials for Huntingtown which showed a positive net income. January sales were $60,000 which is 20% higher than the average sales from 2017.

Additionally, the other locations in the master lease, Gambrills, and New Freedom are performing well. The strong performance from these locations can help minimize the shortfall as Huntingtown's performance continues to ramp up.

The subject unit will be added to the existing three-unit master lease between WLR and EPRT. The master lease has 2017 FYE sales and EBITDAR of $9.4 million and $2.7 million, respectively. The master lease rent coverage is 2.04x.

Corporate Credit: Below are the consolidated financial statements for WLR Automotive Group consolidated the Holdco. The Guarantors for this transaction are WLR Automotive Group, Inc., WLR Distribution, WLR Real Estate Holdings and WLR Management. WLR Auotmotive Group, Inc. houses all of the operating units.

WLR Automotive Group Consolidated Balance Sheet ('000s)	Co Prepared FYE 2015	Co Prepared FYE 2016	Co Prepared FYE 2017
Assets			
Cash	$ 9	$ 554	$ 324
Accounts Receivable	161	160	141
Rents Receivable	-	4	16
Due from Other Companies	-	-	0
Inventories	753	796	687
Prepaids and Other Current Assets	363	462	464
Total Current Assets	1,286	1,975	1,633
PP&E, Net	35,697	39,954	28,082
Goodwill	194	194	194
Due from 3rd Parties	61	54	32
Notes Receivable	264	-	
Franchise Costs	26	21	16
Security Deposits	40	40	40
Other Assets	4	4	-
Total Assets	**$ 37,572**	**$ 42,241**	**$ 29,996**
Liabilities and shareholders' equity			
A/P	$ 2,685	$ 2,530	$ 1,538
Due to Employees	-	2	5
Line of Credit	937	911	308
Deferred Revenue	195	212	179
Other Current Liabilities	88	-	-
Total Current Liabilities	$ 3,906	$ 3,655	$ 2,029
Long Term Debt	28,231	30,155	20,331
Loans to Stockholders	175	410	265
Accrued Gain on Sale Leaseback	-	-	2,303
Security Deposits	109	128	123
Total Liabilities	**$ 32,421**	**$ 34,347**	**$ 25,052**
Shareholders' equity			
Equity	5,150	7,894	4,945
Total shareholders' equity	**5,150**	**7,894**	**4,945**
Total liabilities and shareholders' equity	**$ 37,572**	**$ 42,241**	**$ 29,996**
Total Funded Debt	**29,344**	**31,475**	**20,903**

WLR Automotive Group Consolidated Income Statements ('000s)	Co Prepared FYE 2015	Co Prepared FYE 2016	Co Prepared FYE 2017
CAGR (2015-2017)			**6.8%**
Y-o-Y %			**6.5%**
Sales	$ 29,030	$ 31,077	$ 33,104
Cost of goods sold	15,042	16,748	17,955
Gross profit	13,988	14,330	15,149
Gross profit margin	48.2%	46.1%	45.8%
Operating expenses			
Selling, general, and administrative expenses	8,916	7,926	10,179
Total operating expenses	8,916	7,926	10,179
Other Expense / Other Income (-)	(50)	-	(482)
EBITDAR	**5,122**	**6,404**	**5,453**
EBITDAR margin	**17.6%**	**20.6%**	**16.5%**
Rent	1,304	1,409	2,210
EBITDA	**3,818**	**4,995**	**3,243**
EBITDA margin	**13.2%**	**16.1%**	**9.8%**
Non-Recurring CapEx	-	-	350
Gain/Loss on Sale-Leaseback	-	-	(1,019)
Interest expense	1,359	1,454	1,296
Depreciation expense	1,787	1,832	1,369
Net income	**$ 672**	**$ 1,708**	**$ 1,246**
EBITDAR coverage	1.92x	2.24x	1.56x
Fixed-charge coverage	1.42x	1.70x	1.43x
Lease-adjusted leverage	7.77x	6.68x	7.08x
Funded debt/EBITDA	7.69x	6.30x	6.45x

Balance Sheet:

The Holdco's consolidated financial statement include the accounts of WLR Automotive Group, Inc. which includes all of the lube centers, auto spas, and auto repair centers; WLR Distribution, Inc. which distributes auto parts to the lube and repair centers and auto spas; WLR Management Company, Inc. which provides employees to staff the combined Company's operations; Bel Air Auto Express, LLC, and the following real estate entities: WLR Holding Company, Inc., Central Maryland Holding Company, LLC, The Crofton Holding Company I, LLC and WLR Investment Group, Inc. For details regarding the organizational structure, refer to Exhibit B.

- Debt – The Company has one main line of credit for a total commitment of $500,000 with $308,000 outstanding. The rate for the line is 4.25%. In addition to the line of credit, the Company finances its debt through several loans. All the loans are amortizing and are secured by equipment, leasehold, real estate or vehicles. Below reflects the summary for all the oustanding loans. On a blended basis the interest rate is approximately 6.2%

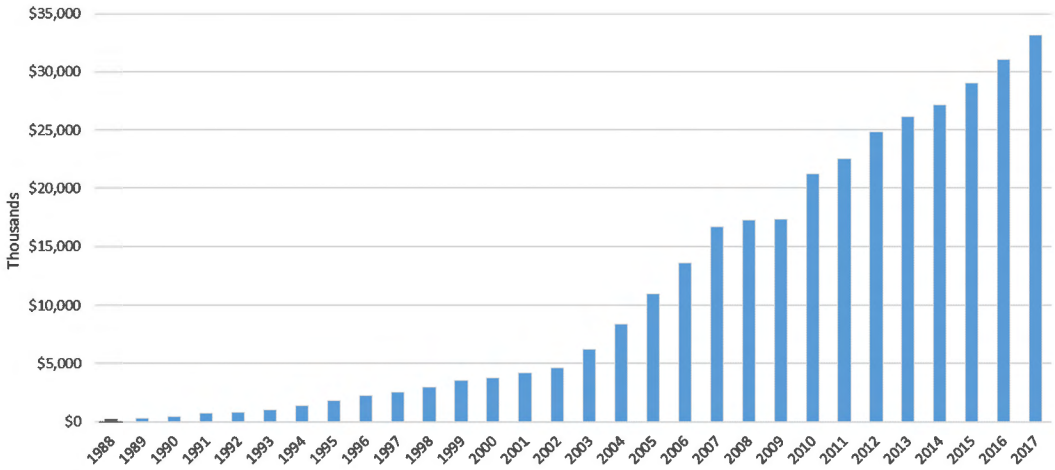
- WLR Holding Co. engages in leasing and managing residential real estate properties and purchases land and properties for development and investment purposes. Of the $20.9 million of debt as of FYE 2017, $10.5 million of it is associated with the mortgages for these investments.

Expiration	Principal	Commitment	Rate
On Demand	$ 308	$ 500	4.25%
Total	**308**	**500**	
Interest	**$ 13.1**		

Weighted Expiration	Principal	Type	Int. Range	Type	# of Loans
Aug-35	$ 1,273	Amortz	0% - 11%	Equipment	13
Feb-30	10,502	Amortz	0% - 12%	Residential RE Mortgage	55
Mar-22	7,817	Amortz	0% - 10%	Corporate	13
Apr-19	1,004	Amortz	3% - 6%	Investment	9
Jan-24	309	Amortz	1% - 7%	Vehicles	23
Total	**$ 20,903**		**Blended**		113
Total Int. Exp	**1,283**		**6.14%**		

Income Statement:

- **Revenue –** Total sales grew by 6.5% from FYE 2016 to FYE 2017. Since its inception in 1988, the company has grown revenues every year**.** The below charts shows total sales from 1988 through 2017.



- **EBTIDAR** – The EBITDA margin typically ranges between 16 and 17%. The margin dropped from 20.6% in 2016 to 16.5% in 2017. Going forward, the Company feels that the margin will remain in the normal range with 2016 being an anomaly.

- **EBITDA** - EBITDA decreased year-over-year by $1.8 million. The decrease is primarily attributable to the following operating expense line items:
    - **Repairs and Maintenance** - The Company aggresively expensed repairs and maintenance in 2017 due to higher sales and cash available via the sale-leaseback with EPRT. The Company put pay stations in at all of the full-service locations to help provide a better service in addition to speeding up the the overall process. With the increased CapEx in 2017, WLR doesn't plan on having a significant R&M expense in 2018. The goal is for R&M to account for 5% of total revenues at the car washes and 3.5% at the Lube Centers.

    - **Administrative Expenses –** The Company grew the corporate G&A which led to increased salary expense to accommodate new unit openings and increased growth.

    - **Bank Fees** – The increase in bank fees were attributable to the sale-leaseback transaction with EPRT as well as 20 of the residential loans up for renewal that were refinanced. This line item should also normalize in 2018.

    - **Rent** – The increase in rent of $801,000 is primarily attributable to the sale-leaseback transaction that WLR and Essential Properties closed on at the beginning of 2017.

Guarantor: Currently, the Guarantor makes up 97% of the revenues of the consolidated company. All of the operating units roll up under Essential's entity. Below reflects the financials for the Guarantor (WLR Automotive Group, Inc. (Opco), WLR Distribution, WLR Management Company, Inc., WLR Holding Company, Inc.)

WLR Automotive Group Balance Sheet ('000s)	PF Combined[1] FYE 2017
Assets	
Cash	$ 379
Accounts Receivable	142
Rents Receivable	16
Due from Other Companies	(3,255)
Inventories	687
Prepaids and Other Current Assets	415
Total Current Assets	(1,616)
PP&E Gross	30,676
Depreciation (-)	(12,184)
Net PP&E	18,492
Goodwill	194
Due from Related Parties	1,387
Due from 3rd Parties	32
Franchise Costs	16
Security Deposits	40
Other Assets	-
Total Assets	**$ 18,545**
Liabilities and shareholders' equity	
A/P	$ 1,467
Due to Employees	5
Line of Credit	308
Deferred Revenue	179
Total Current Liabilities	$ 1,958
Long Term Debt	12,300
Loans to Related Parties	27
Loans to Stockholders	3,241
Accrued Gain on Sale Leaseback	467
Security Deposits	119
Total Liabilities	**$ 18,112**
Shareholders' equity	
Equity	433
Total shareholders' equity	**433**
Total liabilities and shareholders' equity	**$ 18,545**

Total Funded Debt	**15,876**

[1] Guarantor Balance Sheet shown including Bel Air Entity

WLR Automotive Group Income Statements ('000s)	Guarantor FYE 2017	Bel Air FYE PF	Adj.	Combined FYE Proforma
Sales	$ 31,955	$ 1,400		$ 33,355
Cost of goods sold	17,555	482		18,037
Gross profit	14,400	918		15,318
Gross profit margin	45.1%			
Operating expenses				
Selling, general, and administrative expenses	9,730	209		9,939
Total operating expenses	9,730	209		9,939
Other Expense / Other Income (-)	(1,014)	-		(1,014)
EBITDAR	**5,684**	**709**		**6,394**
EBITDAR margin	**17.8%**	**50.7%**		**19.2%**
Rent	2,210	319	27	2,556
EBITDA	**3,475**	**390**		**3,837**
EBITDA margin	**10.9%**	**27.8%**		**11.5%**
Non-Recurring Caital Expenditures	350	-		350
Gain/Loss on Sale-Leaseback	(1,017)	-		(1,017)
Interest expense	844	88		932
Depreciation expense	895	290		1,185
Net income	**$ 2,402**	**$ 11**	**$ -**	**$ 2,386**
EBITDAR coverage	1.86x	N/A	N/A	1.83x
Fixed-charge coverage	1.69x	N/A	N/A	1.68x
Lease-adjusted leverage	5.90x	N/A	N/A	5.68x
Funded debt/EBITDA	4.57x	N/A	N/A	4.14x

Adjustment:

- Combines the Bel Air unit with Guarantor's financials.
- Income Statement: Adjustment to account for the SLB rent.

Rent Adjustments		
Existing Building Mortgage	$	235
New SLB Rent	$	262
Total Rent Increase	$	27

Real Estate:

Essential Properties Realty Trust found four comparable sales to compare to the subject transaction. The comps were chosen by the year built and date of sale (within the last two years).

The subject unit will be acquired at a price and rent PSF in line with recent market sales. The yield is approximately 66 basis points above the comparable set.

Car Wash Sale Comps ('000s)												
Concept	Address	City	ST	Year Built	Sale Date	Bldg SF	Price	Cap Rate	Rent	Price PSF	Rent PSF	Remain. Lease
Blue Wave Car Wash	25556 Kingsland Blvd	Katy	TX	2008	7/28/2017	4,800	$ 3,950.0	7.40%	$ 292.3	$ 822.92	$60.90	NP
Car Spa	5028 W. Park Blvd	Plano	TX	1999	1/7/2016	10,275	6,750.0	6.74%	455.0	656.93	44.28	NP
Zips Car Wash	Varied	Varied	GA	Varied	9/15/2017	42,314	26,660.0	7.70%	2,052.8	630.05	48.51	20.0
Nascar Car Wash	2783 Forgue Dr	Naperville	IL	NP	2/29/2016	5,864	3,771.5	7.98%	301.0	643.16	51.32	19.0
Total	**4**			**2004**		**63,253**	**$ 41,131.5**		**$ 3,101.0**			
Average						**15,813**	**10,282.9**	**7.54%**	**775**	**$ 650.27**	**$49.03**	**19.5**

Subject Unit ('000s)												
Concept	Address	City	ST	Year Built	Sale Date	Bldg SF	Price	Cap Rate	Rent	Price PSF	Rent PSF	Remain. Term
Bel Air Auto Spa	1615 E Churchville Rd	Bel Air	MD	2016	TBD	4,665	$ 3,200.0	8.20%	$ 262.4	$ 685.96	$56.25	14.2

Duff and Phelps recently did a national market study of 30 car wash sales. The average rent PSF across the data set was $54.97. The subject unit is being acquired in line with this national survey.

EPRT is getting a high cap rate due to the subject unit being on a ground lease. However, EPRT will have the option to purchase the land in 2024.

Industry Exposure:

Post-acquisition of the subject unit, Essential Properties' total industry exposure will be $9.5 million in rental revenue. This accounts for 11.88% of total revenue.

Essential Properties ('000s)			
		Expected March 31, 2018	%
Annual Revenue	$	80,000	
Existing WLR Exposure		1,000	1.25%
Proforma WLR Exposure		262	0.33%
Proforma Total WLR Exposure	$	1,262	1.58%
Other Car Wash Exposure		9,238	11.55%
Proforma Car Wash Exposure	$	9,501	11.88%

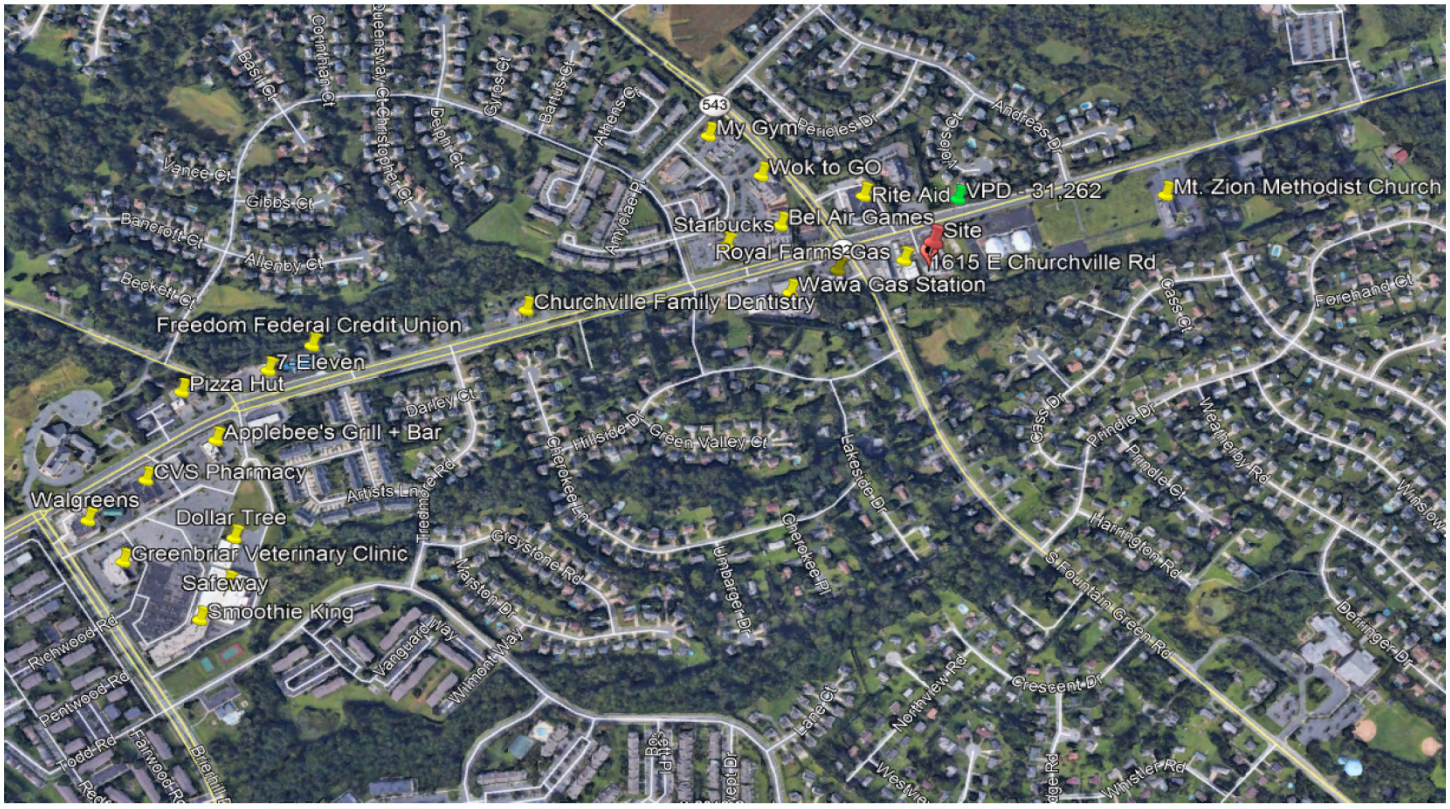
Exhibit A: Photographs, Aerials and Competitive Landscape

Demographics													Metrics		
							5-Mile	10-Miles	15-Miles	5-Mile	10-Miles	15-Miles			
Address	City	State	Zip	Total SF	Built	VPD	Population			Household Income			Investment	Price PSF	Rent PSF
1615 E Churchville Rd	Bel Air	MD	21015	4,665	2016	31,262	10,933	47,397	95,517	$87,056	$94,578	$93,625	$ 3,200.0	$ 685.96	$ 56.25

FREE VACUUM
FREE VACUUM

Rainbow Coat

THE
AUTO SPA
EXPRESS
FIRE Red Hot LAVA
Enjoy the Ride!
Welcome!


My Gym
Wok to GO
Rite Aid
VPD - 31,262
Mt. Zion Methodist Church
Starbucks
Bel Air Games
Site
Royal Farms Gas
1615 E Churchville Rd
Wawa Gas Station
Churchville Family Dentistry
Freedom Federal Credit Union
7-Eleven
Pizza Hut
Applebee's Grill + Bar
CVS Pharmacy
Walgreens
Dollar Tree
Greenbriar Veterinary Clinic
Safeway
Smoothie King
543
Vance Ct
Gibbs Ct
Bancroft Ct
Allenby Ct
Beckett Ct
Cornhill Ct
Queensway Ct
Christopher Ct
Delphi Ct
Gyves Ct
Bartels Ct
Athens Ct
Amyclae Pl
Andrews Dr
Forehand Ct
Cass Ct
Cass Dr
Pindle Dr
Pindle Ct
Weatherby Rd
Harrington Rd
Winslow
Darley Ct
Hillside Dr
Green Valley Ct
Cherokee Ln
Lakeside Dr
Cherokee Pl
Artists Ln
Greystone Rd
Wayson Dr
Vanguard Way
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Crescent Dr
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Lane Ct
Winsler Rd
Dettinger Dr

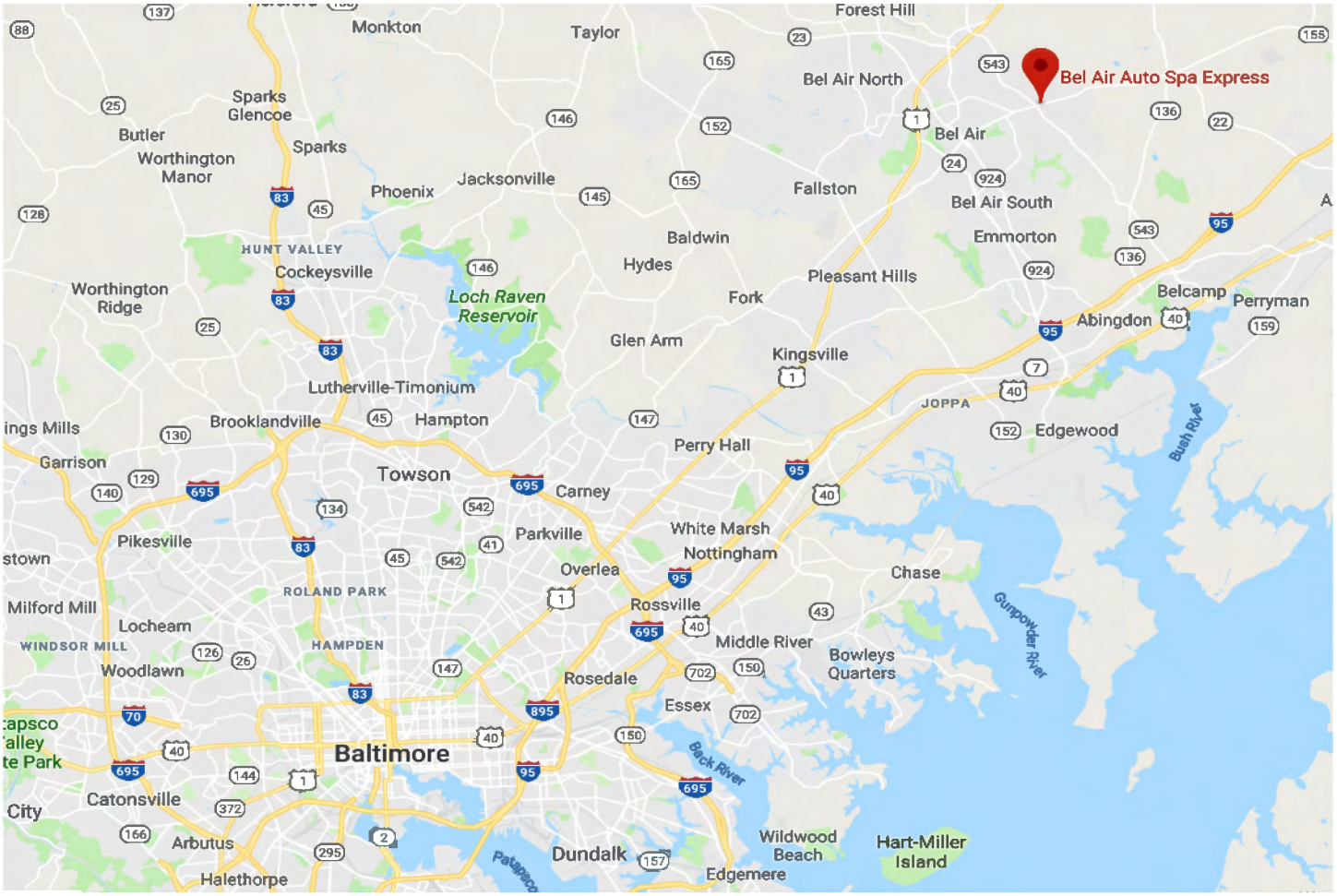
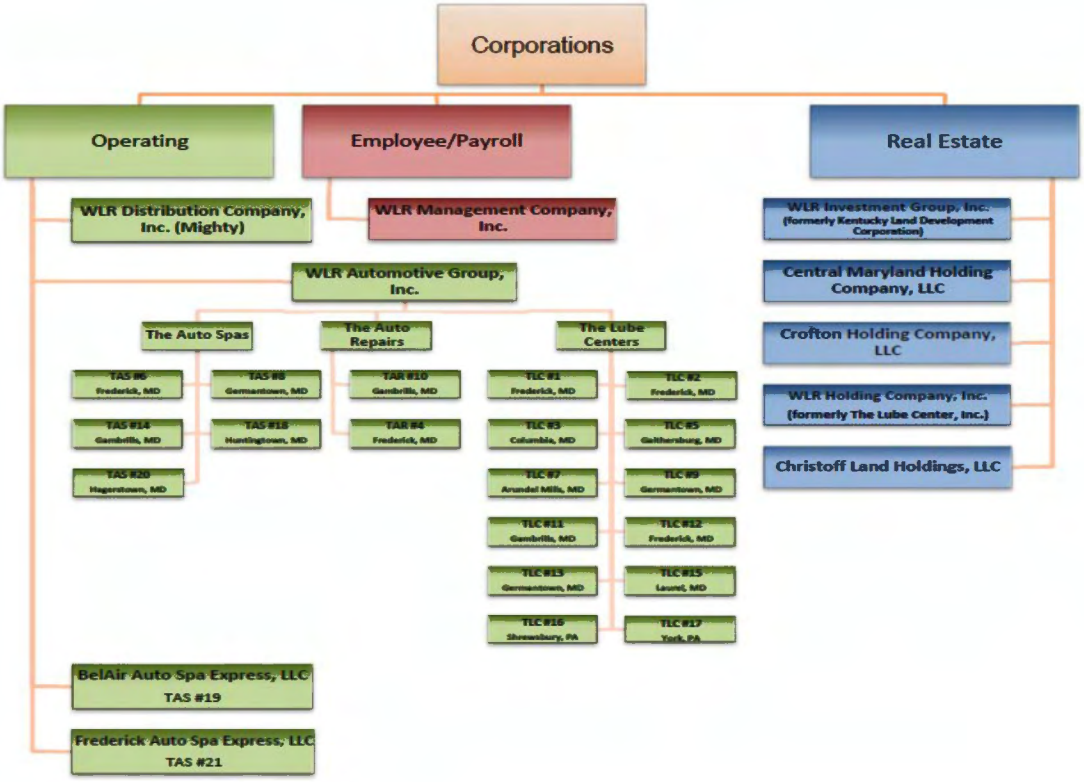
Exhibit B: Organizational Chart